

MODULE 5, CHAPTER 2: THE RIPPLE EFFECT (LOSSES & COVERS)

Categories of Loss

- **Direct Losses:** The devastating physical blows, such as accidental loss of life, permanent disablement, or the physical dismemberment of limbs.
- **Indirect Losses:** The hit to a family's survival funds, including massive medical expenses or the sudden loss of income because the client is physically unable to work.

Basic PA Coverage

- **Accidental Death:** Covered provided the death occurs within a specific window, usually **180 days** from the date of the accident.
- **Permanent Disablement:** Payouts for lost limbs follow a strict percentage table.
 - Losing both feet or total sight in both eyes pays **100%**.
 - Losing an arm at or above the elbow pays **70%**.
 - Losing a thumb pays **15%**.

Optional Covers & Hard Boundaries

- **Optional Enhancements:** Can include Temporary Disablement (replacing weekly income), Medical Reimbursement, Burial Benefits, and coverage for Unprovoked Murder or Assault.
- **Regional Exclusions:** The murder and assault extension carries strict regional exclusions, such as parts of Samar, Basilan, and the Sulu Archipelago.
- **Strict Exclusions:** While coverage applies 24 hours a day worldwide, it strictly excludes **sickness**, war, military duty, self-inflicted injuries, or hazardous lifestyles like scuba diving or skydiving.

Key Takeaway: Memorize the strict boundaries! Sickness is never covered by a PA policy. If adding Unprovoked Murder or Assault coverage, you must be aware of the specific regional exclusions like Basilan and Sulu!